

117	Navarro Arevalo vs. Gold Coast Baking Company, Inc. 2022-01243370	Status Conference Continued to August 6, 2026, at 2:00 p.m. in Department CX102 CMC statement to be filed 10 days in advance. Parties are to address effect of settlement re related Gonzales matter.
118	Lopez vs. Atrium Hospitality LP 2022-01245971	Motion for Final Approval Plaintiff's motion for final approval is CONTINUED to July 9, 2026 at 2:00 p.m. in Department CX102 to permit the parties to respond to the following items of concern. Any supplemental briefing shall be filed 16 court days prior to the hearing. Redlines showing all changes, deletions, and additions must also be submitted. In addition, Plaintiff must provide proof of service of any revised supporting papers on the LWDA. 1. What is the amount of the lowest estimated individual PAGA award? 2. What are the amounts of plaintiff's individual class and PAGA awards? 3. All cost items for mailings, postage, copying, and faxes should be removed as the court does not reimburse such costs. ROA 161 Ex. D. Furthermore, the court requires submission of supporting documentation for the mediation fee. Additionally, counsel should explain to what the numerous charges for "Janney & Janney" pertain. Id. <u>As to the Proposed Order:</u> 4. The title of the document and the footer should reflect "Proposed Order Granting Final Class Action and PAGA Settlement Approval and Judgment." ROA 164. 5. Identify the operative settlement by ROA number. ROA 164 ¶ 1. 6. Include the releases and their operative dates. ROA 164 ¶¶ 14-15.

		7. Propose a realistic date in 2027 for a final accounting hearing, which the court hears on Thursdays at 2:00 p.m. ROA 164 ¶ 16. 8. Specify that notice shall also be given to the LWDA. ROA 164 ¶ 19. 9. Delete paragraph 20. ROA 164. Plaintiff to give notice of this court's ruling, including to the LWDA, within 10 calendar days, and file proof of service.
119	Medicredit Wage and Hour Cases JCCP 5269	1. Motion to Deny Class Certification 2. Motion to Certify Class 3. Trial Setting Conference The Court has reviewed the parties' supplemental filings made in response to the Court's 4/9/2026 minute order. The Court CONTINUES the parties' cross-motions on class certification to July 2 at 2:00 p.m. in Department CX102 and ORDERS Plaintiff to submit a revised proposed Class Notice consistent with this ruling. This ruling (1) addresses all issues raised in the parties' supplemental filings in response to the Court's 3/17/2026 and 4/9/2026 minute orders and (2) supplements the Court's previous 3/17/2026 minute order ruling on the parties' cross-motions for class certification. 1. Plaintiff's Adequacy Declaration The Court has considered Defendants' objections (ROA #580) to Plaintiff's adequacy declaration submitted at ROA #566. The Court OVERRULES all objections because Defendants' arguments all go more to the weight of the evidence as to admissibility, and Defendants' cited authorities about discovery admissions controlling over contrary declarations lodged at the hearing in the summary judgment context do not apply here on a motion for class certification. The Court notes that at Plaintiff's deposition on January 23, 2025, Plaintiff stated, "I don't understand that" in response to the question, "[D]o you understand that you're attempting to act as a class representative to represent other employees?" (ROA #575, Lu Decl., Exh. 1 at p. 35:21-24; see also <i>id.</i> at p. 35:25-37:10 [similar].) This does contradict ¶ 3 of Plaintiff's adequacy declaration signed on 3/25/2026, which states that "[w]hen [she] first retained [her] attorneys (Lauby, Mankin & Lauby), [she]

chose to pursue this wage & hour case on a class action basis rather than as an individual claim. In that regard, [she] understood that [she] had specific burdens as the 'Class Representative[]'" (ROA #566, ¶ 3.)

However, sometime between her deposition on 1/23/2025 and now, Plaintiff could have updated her understanding as to the nature of this action such that she now "understand[s] that . . . [she] seek[s] to represent employees who were subject to the same policies and practices"; "understand[s] that [she] will be representing not only [her]self, but employees with similar claims"; "understand[s] that to recover, it will be necessary to prove that employees were not properly paid for all hours worked and/or received inaccurate wage statements"; and "understand[s] [her] duties and responsibilities to the proposed class and will carry out those duties as necessary." (*Id.* at ¶¶ 5, 10.)

Therefore, the Court **FINDS** that Plaintiff's 3/25/2026 declaration suffices to establish her adequacy for class certification purposes.

Additional issues relating to Plaintiff's adequacy are addressed below as part of the Court's ruling on the class to be certified.

2. Class Definition

The Court **APPROVES** the following class definition for Plaintiff's "inclusive dates" wage statement claims as to which the Court granted class certification per the Court's 3/17/2026 minute order:

All current and former non-exempt employees who (1) were employed by Medicredit, Inc. and/or Parallon Revenue Cycle Services, Inc. in California, (2) received a wage statement reflecting one or more 'BonRetOT' payments at any time from April 23, 2020 to the date of class certification, and (3) seek to recover not actual damages but only the statutory penalty provided in California Labor Code section 226, subdivision (e)(1).

a. Inclusion of Defendant Parallon

The Court rejects Defendants' objections to the inclusion of Defendant Parallon in the class definition. Nowhere in Defendants' 55 pages of briefing on the parties' original cross-motions regarding class certification did Defendants ever attempt to differentiate between Defendants Medicredit and Parallon or make any arguments about Parallon specifically.

In fact, Defendants' briefing explicitly chose to group Medicredit and Parallon together as "Defendants" while excepting Defendant HCA from this definition so that Defendants could separately

argue that since Plaintiff was not employed by HCA, Plaintiff's claims against HCA were not typical. (See, e.g., ROA #453, Def.'s Mot. P&A, at p. 1 ["Plaintiff Deborah Heins ('Plaintiff') filed a proposed class action against Medicredit, Inc. ('Medicredit'), Parallon Revenue Cycle Services, Inc. ('Parallon') (collectively 'Defendants'), and HCA Health Services of California, Inc. ('HCA') . . ."]; ROA #534, Def.'s Opp., at p. 1 [Plaintiff Deborah Heins ('Plaintiff') moves for class certification against Medicredit, Inc. ('Medicredit'), Parallon Revenue Cycle Services, Inc. ('Parallon') (collectively 'Defendants'), and HCA Health Services of California, Inc. ('HCA') . . .].)

Given that Defendants' original briefing never once argued that Plaintiff's claims against Parallon do not meet class certification requirements, the Court treats this argument as waived. (*Badie v. Bank of America* (1998) 67 Cal.App.4th 779, 784-785 [when a party "fails to raise a point," the point is "waived"].)

b. Plaintiff's Proposed "Or Similar Retroactive True-Up Payments" Language

Plaintiff's original motion for class certification contended that "Plaintiff's wage statement claim is based on Defendants' policies and practice of issuing wage statements . . . [that] omitted inclusive dates (for which retroactive overtime payments were earned)." (ROA #443, Pl.'s Mot. P&A, at p. 18.) Plaintiff's original reply brief also pointed out that "Labor Code section 226(a) explicitly requires wage statements to show 'the inclusive dates of the period for which the employee is paid.' This requirement applies to all forms of compensation, including bonuses." (ROA #550, Pl.'s Reply, p. 9.)

However, in support of this "inclusive dates" claim, Plaintiff submitted only her expert's observation that:

According to Heins' PDF wage statements, "BonRetOT" was paid as a presumed true-up for underpayments of overtime on bonuses earned in an earlier period when overtime was worked. This type of payment requires a recalculation of the regular rate of pay for purposes of paying overtime. In the seven pay periods reflected in Heins' wage statements where BonRetOT was paid, there was no indication of which prior period the retroactive overtime applied (see MEDICREDIT 000030, 32, 57, 59, 61, 63, and 65).

. . . Across the Wage Statement Period, 139 of 213 employees (65.3%) were paid BonRetOT, affecting 985 of 12,886 pay periods (7.6%).

(ROA #449, Exh. A [Anello Decl.], ¶¶ 23-24.)

Plaintiff now seeks to define the class as follows:

All current and former non-exempt employees who were employed by Medicredit, Inc. and/or Parallon Revenue Cycle Services, Inc. in California at any time from April 23, 2017 to the resolution of the action and received a wage statement reflecting a “BonRetOT” payment, *or similar retroactive true-up payment*.

(Emphasis added.)

Plaintiff’s supplemental brief contends that her proposed definition includes the phrase “or similar retroactive true-up payment” in order to “clarify the meaning of Defendants’ internal payroll code for Class members and to ensure that the class definition captures any functionally equivalent payments regardless of how Defendants labeled them.” (ROA #568, Pl.’s Supp. Br., p. 1.)

Defendants seek to limit the class definition to apply to *only* those “employees who received wage statements . . . that reflected one or more ‘BonRetOT’ payment(s).” (ROA #577, Def.’s Supp. Br., pp. 2, 4.) Defendants point out that Plaintiff’s proposed phrase “similar retroactive true-up payments” is “a subjective label that provides no objective basis for identifying class members.” (*Id.* at p. 2.)

While Plaintiff’s “inclusive dates” claim theoretically should not be limited based on Defendants’ specific use of one type of internal payroll code, ultimately, despite having years to conduct discovery in this case, Plaintiff apparently has not identified any other relevant payroll code to include in her proposed class definition.

Moreover, “the threshold requirement of ascertainability for class certification is satisfied when the class is defined in terms of objective characteristics and common transactional facts that make the ultimate identification of class members possible when that identification becomes necessary. We regard this standard as including class definitions that are sufficient to allow a member of the class to identify himself or herself as having a right to recover based on the class description.” (*Sarun v. Dignity Health* (2019) 41 Cal.App.5th 1119, 1132-1133, internal quotes & brackets omitted, quoting *Noel v. Thrifty Payless, Inc.* (2019) 7 Cal.5th 955, 980.) “In attempting to define an ascertainable class, the goal is to use terminology that will convey sufficient meaning to enable persons hearing it to determine whether they are members of the class plaintiffs wish to represent.” (*Global Minerals & Metals Corp. v. Super. Ct.* (2003) 113 Cal.App.4th

836, 858.) Thus, a class definition must be “precise, objective and presently ascertainable.” (*Id.*, internal quotes omitted.)

Here, if the class were defined to include “or similar retroactive true-up payment,” it would be difficult for class members to easily, objectively identify themselves as having a right to recover. How would an employee hearing this description know whether another code appearing on their wage statement is similar or not similar to “BonRetOT”? Who would decide similarity?

Therefore, the Court declines to include the phrase “or similar retroactive true-up payment” in the approved class definition.

c. Applicable Statute of Limitations

The parties also dispute whether the start date of the class period should be April 23, 2017 (as Plaintiff contends) or April 23, 2020 (as Defendants contend).

Defendants’ contention that only a one-year statute of limitations applies to Plaintiff’s wage statement claim under Labor Code section 226 is based on three basic arguments: (1) Labor Code section 226, subdivision (e)(1) should be construed to provide only recovery for penalties, not damages; (2) Plaintiff’s complaint seeks only penalties, not damages; and (3) any pursuit of actual damages would render the class wholly unmanageable.

Defendants’ first two arguments lack merit. However, the Court agrees that Plaintiff has failed to satisfy her burden of proving manageability as to her inclusive dates wage statement claim to the extent such a claim seeks to recover actual damages instead of statutory penalties.

i. Statutory Construction

Labor Code section 226, subdivision (e)(1) provides:

An employee suffering injury as a result of a knowing and intentional failure by an employer to comply with subdivision (a) is entitled to recover the greater of all actual damages or fifty dollars (\$50) for the initial pay period in which a violation occurs and one hundred dollars (\$100) per employee for each violation in a subsequent pay period, *not to exceed an aggregate penalty of four thousand dollars (\$4,000)*, and is entitled to an award of costs and reasonable attorney's fees.

(Emphasis added.)

Defendants contend that the italicized clause providing for an aggregate cap on “penalty” qualifies both “actual damages” and

"penalties," thereby rendering all recoverable amounts "penalties" subject to a one-year statute of limitations. (Def.'s Supp. Br., p. 3.) In support, Defendants cite *White v. County of Sacramento* (1982) 31 Cal.3d 676, and the "last antecedent rule." However, *White* also went on to note that exceptions to the "last antecedent rule" exist and that "the fundamental rule that a court is to construe a statute 'so as to effectuate the purpose of the law.'" (*Id.* at p. 681.) Here, by permitting employees to recover "the greater of all actual damages or" the prescribed penalties indicates that the purpose of the law is to allow employees to recover actual damages *or* the prescribed penalties.

Also, the phrase "fifty dollars (\$50) for the initial pay period in which a violation occurs and one hundred dollars (\$100) per employee for each violation in a subsequent pay period" does not use the word "penalty." Thus, the use of the term "penalty" in the subsequent phrase "not to exceed an aggregate penalty of four thousand dollars (\$4,000)" may properly be construed to simply provide a label for the \$50/\$100 described in the previous clause—as opposed to the word "penalty" applying to all the antecedents that came before it, including "actual damages."

Indeed, numerous federal courts in California that have considered the issue of which statute of limitations applies to Section 226(e)(1) claims have concluded that the three-year statute of limitations under Code of Civil Procedure (CCP) section 338 applies where a plaintiff's claim seeks actual damages, while the one-year statute of limitations under CCP section 340 applies where a plaintiff's claim seeks penalties—and that "a single claim under Cal. Lab. Code § 226 may be subject to two different limitation periods based on the nature of the relief sought has been recognized by many district courts." (*Hassan v. Praxair, Inc.* (C.D.Cal. Mar. 4, 2019, No. LA CV18-02811 JAK (AFMx)) 2019 WL 3064435, at *4, citing numerous cases; see also *Novoa v. Charter Communications, LLC* (E.D.Cal. 2015) 100 F.Supp.3d 1013, 1024-1025 ["The plain language of California Labor Code Section 226 provides for both actual damages and penalties," and "[d]istrict courts that have recently confronted the issue have come to the same conclusion . . . recognizing that two limitations periods could apply to a claim under Section 226 because it authorizes damages and penalties"].)

Defendants contend that these federal district court decisions should be given no weight because (1) the California Supreme Court in *Murphy v. Kenneth Cole Productions, Inc.* (2007) 40 Cal.4th 1094, 1118, fn. 16 stated that violations of section 226(a) are "undisputedly governed by a one-year statute of limitations" and (2) there is an Assembly analysis that refers to "a penalty of

actual damages or \$100, whichever is greater.” (Def.’s Supp. Br. at p. 3.)

These two arguments also lack merit. First, the full context for the California Supreme Court’s quoted statement in footnote 16 of *Murphy* is: “Murphy’s claim for itemized wage statement violations, although undisputedly governed by a one-year statute of limitations, was accordingly timely.” (*Murphy, supra*, 40 Cal.4th at p. 1118, fn. 16.) Nothing in the opinion explains whether Murphy’s claim was only for penalties or was also for actual damages. Thus, it does not appear that the Court considered the issue of whether Murphy’s claim was for actual damages such that the three-year statute of limitations is applicable. If anything, a different comment in the Court’s opinion in *Murphy* indicates that the Court considered only the \$50/\$100 provisions of Labor Code section 226(e) as providing for “penalties.” (*Id.* at p. 1108 [“In section 226, the Legislature imposed a penalty on employers who fail to provide itemized wage statements that comply with the Labor Code. (§ 226, subd. (e) [\$50 for initial violation, \$100 for subsequent violations].)”].)

Second, “resort to legislative history is appropriate only where statutory language is ambiguous. (*Kaufman & Broad Communities, Inc. v. Performance Plastering, Inc.* (2005) 133 Cal.App.4th 26, 29, also quoting *Hunt v. Super. Ct.* (1999) 21 Cal.4th 984, 1000, internal citations omitted [“Our role in construing a statute is to ascertain the Legislature’s intent so as to effectuate the purpose of the law. In determining intent, we look first to the words of the statute, giving the language its usual, ordinary meaning. If there is no ambiguity in the language, we presume the Legislature meant what it said, and the plain meaning of the statute governs”].) Here, the language of Labor Code section 226(e)(1) is not ambiguous: “The plain language of California Labor Code Section 226 provides for both actual damages and penalties.” (*Novoa, supra*, 100 F.Supp.3d at p. 1024.) Therefore, the Court need not resort to legislative history.

Accordingly, because Labor Code section 226(e)(1) provides for recovery of either actual damages or penalties, the three-year statute of limitations under CCP section 338 applies where a plaintiff’s claim seeks actual damages, while the one-year statute of limitations under CCP section 340 applies where a plaintiff’s claim seeks penalties.

ii. Plaintiff’s Complaint

Accordingly, the next issue is whether Plaintiff’s complaint seeks actual damages, penalties, or both.

Defendants first contend that Plaintiff's complaint seeks only penalties because it proposes a "Wage Statement *Penalties Subclass*" and seeks "*applicable penalties*," citing ¶¶ 73 and 76 of the complaint. (Def.'s Supp. Br. at p. 3.) However, ¶ 73 alleges, in relevant part:

Plaintiff, the Represented Employees and the Wage Statement Penalties Subclass have suffered and continue to suffer, substantial losses related to the use and enjoyment of such wages, lost interest on such wages and expenses and attorney's fees in seeking to compel Defendants to fully perform its obligation under state law, all to their respective *damages* in amounts according to proof at trial

(Emphasis added.) As for ¶ 76, it alleges:

Labor Code § 226(e) requires Defendants to pay *the greater of all actual damages or fifty dollars (\$50.00)* per employee for the initial pay period in which a violation occurred, and one hundred dollars (\$100.00) per employee for each violation in subsequent pay periods, plus attorney's fees and costs, to Plaintiff, the Represented Employees and the Wage Statement Penalties Subclass who were injured by Defendants' failure to comply with Labor Code § 226(a). The exact amount of the applicable penalty is all in an amount to be shown according to proof at trial.

(Emphasis added.)

Furthermore, in the complaint's prayer for relief, Plaintiff prays for the following, in relevant part:

6. For all applicable statutory penalties recoverable under the First through Sixth Causes of Action to the extent permitted by law, including those pursuant to Labor Code and Orders of the Industrial Welfare Commission; . . .

10. For an award of *damages* in the amount of unpaid compensation including, but not limited to, unpaid wages, benefits, and penalties according to proof, including interest thereon;

(Emphasis added.)

Fairly read, the complaint does not seek only penalties, as Defendants contend, but rather seeks actual damages or penalties, whichever is greater, according to proof at trial. Therefore, the three-year statute of limitations under CCP section 338 applies to the extent Plaintiff or any member of the class seeks actual damages, while the one-year statute of limitations

under CCP section 340 applies to the extent Plaintiff or any member of the class seeks the \$50/\$100 (up to \$4,000) penalties.

iii. Manageability

In Defendants' first round of supplemental briefing submitted after the Court's 3/17/2026 minute order, Defendants also contended that any pursuit of actual damages would "render the class wholly unmanageable" because "[e]ach member would need to testify individually on the actual injury from the alleged omission of inclusive date, and if so, the amount of damages." (Def.'s Supp. Br. at p. 4.) Defendants contended that "[t]his testimony cannot be supplied through expert analysis or statute-based calculations." (*Id.*) Therefore, "[a]t an estimated two hours per class member, this would require 300 hours of trial testimony for the 139 individuals identified in Anello's declaration." (*Id.*) Thus, "[s]hould Plaintiff persist in this theory, Defendants respectfully request[ed] supplemental briefing on the issue of her adequacy and manageability of this claim." (*Id.*, emphasis omitted.)

As the Court previously stated in its 3/17/2026 ruling, "[a]s a general rule if the defendant's liability can be determined by facts common to all members of the class, a class will be certified even if the members must individually prove their damages." (*Brinker Restaurant Corp. v. Super. Ct.* (2012) 53 Cal.4th 1004, 1022, internal quotes omitted; see also *Kizer v. Tristar Risk Management* (2017) 13 Cal.App.5th 830, 841-842 ["o]rdinarily, class treatment of a claim is appropriate if the facts necessary to establish liability are capable of common proof, including the so-called fact of damage, that is, the existence of harm establishing an entitlement to damages. If the defendant's liability can be determined by facts common to all members of the class, a class may be certified even though class members must individually establish the amount of their damages"], 843 ["the fact of damage is a liability issue that focuses on the existence of harm establishing a plaintiff's entitlement to damages; it is not concerned with the amount of damages"].)

However, "[t]rial courts must [also] pay careful attention to manageability when deciding whether to certify a class action," and "the manageability of individual issues is just as important as the existence of common questions uniting the proposed class." (*Duran v. U.S. Bank National Assn.* (2014) 59 Cal.4th 1, 29.)

While courts have generally recognized that it is not "a bar to certification that individual class members may ultimately need to itemize their damages," it is nevertheless "one factor to be considered in determining whether a class action is proper."

(*Sav-On Drug Stores, Inc. v. Super. Ct.* (2004) 34 Cal.4th 319, 334-335, internal quotes omitted.) Ultimately, “[i]ndividual issues do not render class certification inappropriate *so long as such issues may effectively be managed.*” (*Id.* at p. 334, emphasis added.)

Thus, in the Court’s 4/9/2026 minute order, the Court stated:

Because Plaintiff’s complaint and supplemental briefing confirm that for Plaintiff’s Labor Code section 226 claim, Plaintiff seeks actual damages or penalties, whichever is greater, according to proof at trial, the Court is concerned about the manageability of individual issues relating to proving the amount of each class member’s actual damages to the extent they seek to recover damages rather than penalties.

While the Court’s previous ruling on 3/17/2026 rejected Defendant’s arguments on whether liability and injury or fact of damage are issues in which common or individual questions predominate [referring to wage statement claims], the parties have not sufficiently briefed nor has the Court fully considered whether individual issues relating to proof of amount of actual damages may be effectively managed.

. . .

Thus, the question remains: Can the individual issues relating to proving the amount of each class member’s actual damages be effectively managed such that “the issues which may be jointly tried, when compared to those requiring separate adjudication, justify the maintenance of the suit as a class action”?

(ROA #587, internal citation omitted.) Accordingly, the Court ordered the parties to submit supplemental briefing on this narrow manageability issue. (*Id.*)

Plaintiff, in essence, has not answered the question posed.

As Defendants point out, Plaintiff’s original trial plan submitted in support of Plaintiff’s motion for class certification did little more than propose a bifurcated proceeding in which liability would be tried first, followed by damages. (ROA #445.) In that trial plan, Plaintiff explicitly contended “because individual issues with respect to the amount of damages do not preclude certification, Plaintiff does not believe it is necessary or appropriate to submit a detailed trial plan with respect to Stage II at this time.” (*Id.* at p. 3, fn. 3.) Therefore, Plaintiff’s initial trial plan did not address this issue.

After the Court ordered explicit supplemental briefing on manageability of trial on damages issues, Plaintiff still did not propose any sort of trial plan to demonstrate manageability. Instead, the only sentence in Plaintiff's 10-page supplemental brief filed on 5/8/2026 that could even be remotely considered as a trial plan is: "Thus, proposed procedures for managing the determination of damages is to establish an opt-in procedure for or surveys pertaining to actual damages or a statistical sample for the average lost wages among similarly situated subclasses." (ROA #596 at p. 5.) Plaintiff provides zero explanation or detail on these vague procedures referenced in this one sentence.

As the Supreme Court has held, "[c]lass certification is appropriate only if these individual questions can be managed with an appropriate trial plan." (*Duran, supra*, 59 Cal.4th at p. 27.) "If statistical evidence will comprise part of the proof on class action claims, the court should consider *at the certification stage* whether a trial plan has been developed to address its use. A trial plan describing the statistical proof a party anticipates will weigh in favor of granting class certification if it shows how individual issues can be managed at trial. Rather than accepting assurances that a statistical plan will eventually be developed, trial courts would be well advised to obtain such a plan before deciding to certify a class action." (*Id.* at pp. 31-32, italics original; see also *Modaraei v. Action Property Management, Inc.* (2019) 40 Cal.App.5th 632, 644 [affirming trial court's rejection of Plaintiff's proposal to conduct statistical analysis *after* class certification because "'a promise to conduct a statistical analysis in the future is not a trial plan'"].)

"In general, when a trial plan incorporates representative testimony and random sampling, a preliminary assessment should be done to determine the level of variability in the class. If the variability is too great, individual issues are more likely to swamp common ones and render the class action unmanageable." (*Id.* at p. 33, internal citation omitted.) In *Duran*, the high court held that because "[n]o such assessment was done," the statistical plan adopted for trial was "flawed" because it "did not manage but instead ignored individual issues." (*Id.*)

Here, Plaintiff does not even remotely attempt to propose a trial plan for damages issues, much less a manageable one.

Plaintiff bears the burden of proof on establishing all requirements for class certification by admissible evidence. (*Soderstedt v. CBIZ Southern Cal., LLC* (2011) 197 Cal.App.4th 133, 154-155.) Manageability is one such requirement. (See *Duran, supra*, 99 Cal.4th at pp. 28-29 ["Although predominance

of common issues is often a major factor in a certification analysis, it is not the only consideration. In certifying a class action, the court must also conclude that litigation of individual issues, including those arising from affirmative defenses, can be managed fairly and efficiently. . . . Trial courts must pay careful attention to manageability when deciding whether to certify a class action. In considering whether a class action is a superior device for resolving a controversy, the manageability of individual issues is just as important as the existence of common questions uniting the proposed class.”].)

The Court finds that Plaintiff has failed to carry this burden of proof with respect to claims *for actual damages* for Plaintiff’s inclusive dates wage statement claim. However, the Court finds that Plaintiff has sufficiently carried her burden of proof for her inclusive dates wage statement claim *to the extent the claim seeks recovery of statutory penalties under Labor Code section 226, subdivision (e)(1)*.

Notably, in Plaintiff’s second supplemental brief filed on 5/8/2026, Plaintiff proposed that “[i]n the alternative, the Court should certify the one-year penalties wage statement class” and proposes a class period start date of 4/23/2020. (ROA #596 at p. 9.) Defendants characterize this alternative proposal as a “telling concession that the actual-damages framework is unmanageable.” (ROA #598 at p. 6.) In any case, Defendants appear to agree that if the Court does not deny class certification altogether, “the Court should narrow the class to a penalties-only theory with a one-year statute of limitations.” (ROA #598 at p. 6.)

Based upon Plaintiff’s contention that a penalties-only wage statement class would be subject to a one-year statute of limitations, Plaintiff appears to have conceded that she has no applicable derivative UCL claim (to which a four-year statute of limitations would apply). Presumably, this concession is based upon the rule that statutory penalties cannot be recovered as restitution under the UCL. (*Pineda v. Bank of America, N.A.* (2010) 50 Cal.4th 1389, 1402.)

Previously, the Court’s 3/17/2026 minute order stated that the Court was inclined to “GRANT IN PART Plaintiff’s motion for class certification and DENY IN PART Defendant’s motion to deny class certification and/or strike class allegations, *as to Plaintiff’s “inclusive dates” wage statement claim and any derivative claims based upon that theory.*” (ROA #560, italics original, bolding omitted.) Thus, the Court now **UPDATES** its 3/17/2026 ruling to clarify that the granting of Plaintiff’s motion for class certification (and the corresponding denial of Defendants’ motion to deny

class certification) applies only to Plaintiff's Labor Code section 226 claim *but does not apply to any derivative UCL claim.*

Also, to confirm, although the California Supreme Court has held that a plaintiff may be deemed an inadequate class representative where the plaintiff seeks only one type of remedy by her claim and therefore waives recovery of other remedies to which class members would be entitled (*City of San Jose v. Super. Ct.* (1974) 12 Cal.3d 447, 464), *a trial court may nevertheless certify a class that seeks only one type of remedy but not others so long as adequate notice is provided to all class members about the waiver of additional remedies with an opportunity to opt out* (see *Hicks v. Kaufman & Broad Home Corp.* (2001) 89 Cal.App.4th 908, 925-926 [dicta] ["[t]here are several ways in which the trial court could certify a class without waiving the right of class members with [different damage claims] to recover for that damage," including "for the trial court to use the class notice procedure to give those class members with property damage the opportunity to opt out of the class"]; *Anthony v. General Motors Corp.* (1973) 33 Cal.App.3d 699, 704 [reversing trial court's denial of class certification just because plaintiffs' prayer for relief sought only one type of damages, reasoning that "[a]n order for notice . . . can be drawn as to warn those members of the class defined in the complaint of the risk they run by remaining as participants; if they knowingly assume that risk; no one else can complain"]; see also *Evans v. Lasco Bathware, Inc.* (2009) 178 Cal.App.4th 1417, 1433-1434 [affirming trial court's finding that the notice procedure suggested by the *Hicks* dicta would not be feasible under the circumstances of *Evans* because "a class member could not determine whether he or she had suffered such additional damages" and thus, "even if the class notice provided a potential member with sufficient information on the reasons he or she might wish to opt out of the class (e.g., to preserve a claim for additional damages), the class member here (unlike potential class members in *Hicks*) could not readily decide whether to opt out of the class but could only make that decision after engaging in destructive testing"]).

In sum, under this line of cases, if the relevant claim is one for which class members can readily determine whether they have suffered additional damages and can therefore readily decide whether to opt out of the class to pursue additional or different remedies, then the plaintiff's pursuit of only one type of remedy while forfeiting others is not a bar to class certification so long as the notice provided to the class members adequately warns of the risk of such forfeiture.

Here, the relevant claim is one under Labor Code section 226 relating to inadequate wage statements. The notice to class

members can easily inform them—and, indeed, must inform them—that if Defendants are found to be liable under this section, each class member is “entitled to recover the greater of all actual damages or fifty dollars (\$50) for the initial pay period in which a violation occurs and one hundred dollars (\$100) per employee for each violation in a subsequent pay period, not to exceed an aggregate penalty of four thousand dollars (\$4,000), and is entitled to an award of costs and reasonable attorney’s fees.” (Lab. Code, § 226, subd. (e)(1).) The notice can and must also inform class members that this action seeks recovery only for the statutory penalties and not actual damages. The notice can and must also inform class members that if they do not opt out of the class, but they have suffered actual damages greater than the statutory penalties, class members would waive their right to recover any such greater actual damages.

Upon receipt of such notice, class members should be able to easily assess whether they suffered any actual damages from Defendants’ alleged violation of the statute. If they did, then they can easily opt out if they so wish. But if not, then they would recover the greater statutory penalties anyway.

Accordingly, the Court modifies the parties’ proposed class definitions and **APPROVES** the following definition, as noted above:

All current and former non-exempt employees who (1) were employed by Medicredit, Inc. and/or Parallon Revenue Cycle Services, Inc. in California, (2) received a wage statement reflecting one or more ‘BonRetOT’ payments at any time from April 23, 2020 to the date of class certification, and (3) seek to recover not actual damages but only the statutory penalty provided in California Labor Code section 226, subdivision (e)(1).

3. Form, Content, and Protocols for Class Notice

Accordingly, the Court also **ORDERS** Plaintiff to submit a revised proposed Class Notice that clearly and adequately explains to class members (1) the substance of the “inclusive dates” wage statement claim as to which class certification is being granted; (2) all the remedies available under Labor Code section 226(e)(1); (3) the limited recovery sought in this case; and (4) the resulting forfeiture of the right to seek greater actual damages if the class member does not opt out.

Otherwise, the Court finds that Plaintiff’s proposed form and content of class (ROA #564, 573) are acceptable, except that the Court further **ORDERS** Plaintiff to make the following minor modification:

In the caption, the proposed notice references that the *Heins* action is a Riverside Superior Court case as well as a part of JCCP No. 5269—but it does not specify the Court in which the JCCP is pending. The same is true for the case listing appearing under Section 15. Similarly, in Section 2, the notice explains only that the class action lawsuit is “now pending in the Superior Court of the State of California, County of Riverside,” but does not reference the JCCP pending in this Court. Class Members should be informed that the *Heins* action is pending in this Court as part of the JCCP.

Plaintiff must submit the revised proposed Class Notice at least 16 court days before the continued hearing.

The Court notes that Defendants’ only objection thus far to Plaintiff’s proposed class notice and process is that the class definition has been left blank; otherwise Defendants’ objection incorporated all its above-discussed arguments set forth in its supplemental brief on Plaintiff’s proposed class definition. (ROA #579.) Accordingly, if Defendants wish to object to Plaintiff’s revised proposed Class Notice submitted in response to this ruling, Defendants may only object only to any new language Plaintiff proposes in response to this ruling. Defendants must submit any such objections at least 9 court days before the continued hearing.

Plaintiff may submit a reply to Defendants’ objections at least 5 court days before the continued hearing.

Plaintiff shall give notice of all of the above.